



CAVA GROUP, INC.

Bender Trust Final Report

Investment Thesis

Recommendation: **BUY**

Price: \$141.38

52 Week Range: \$31.47-\$172.43

Market Cap (\$b): 15.2

Shares Outstanding (m): 114.58

P/E Ratio: 344.83

1. Leader in Ethnic + Mediterranean Food Industries

- Consumers are increasingly exploring a variety of global flavors, including Thai, Mexican, Mediterranean, and more. As of 2020, the ethnic food industry was valued at \$5 billion and is projected to grow 10% from 2021 to 2026. Cava aligns with increasing consumer demand for these ethnic flavors with their Mediterranean menu consisting of various sauces, dips, and meats that all fall under the “safe exotic” category.
- Specifically, the Mediterranean food industry is growing, as is the ethnic food industry. In fact, the Mediterranean sector grew 8.2% in the past 5 years and was valued at \$47 billion in 2022. Cava holds a competitive advantage within this sector as it’s the largest national chain in the Mediterranean category. Thus, it’s placed well in the ethnic and Mediterranean food categories as consumer demand for global flavors stimulates the growth of the two industries.

2. Diversified Revenue Stream

- One of CAVA's key investment drivers is its diversified revenue stream, particularly through its robust digital and multichannel strategy. The company has successfully expanded into the consumer packaged goods (CPG) space, particularly by outsourcing its dips. It spreads to major retailers like Whole Foods, providing a new and lucrative revenue stream outside its core restaurant business. This strengthens brand recognition and enhances customer retention, as consumers can purchase CAVA’s signature products in stores. Additionally, CAVA is innovating in the ghost kitchen model, where they open delivery-only “ghost shops” to meet the growing demand for off-premise dining. This model increases accessibility without incurring the overhead costs of full-scale restaurant locations.

3. Strategic Suburban Expansion and National Growth Ambitions

- CAVA has big plans for expansion, particularly into South Florida and the Midwest, two regions where there's strong demand for healthier dining options. We’ve already seen the positive impact of regional growth with the acquisition of Zoe’s Kitchen in 2018, where CAVA successfully converted those locations into thriving restaurants, especially in suburban areas. By targeting these kinds of regions, CAVA is poised to tap into new customer bases and create more opportunities for growth. With an ambitious goal of opening 1,000 stores by 2032, these expansions will help CAVA significantly increase its footprint, boost brand recognition, and solidify its position as a leader in the fast-casual dining space. This kind of growth will undoubtedly have a lasting, positive impact on the company as it continues to expand nationwide.

The CAVA logo is located in the bottom right corner of the page. It features the word "CAVA" in a bold, sans-serif font. The letters "CA" are black, and the letters "VA" are a bright orange color.

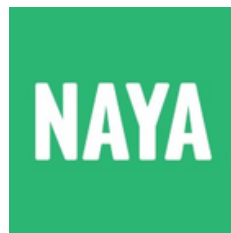
Company Overview

Cava is currently the largest Mediterranean restaurant chain in the United States. Cava is a fast-paced casual restaurant that offers customizable bowls, salads, and pitas made from natural, fresh ingredients and is focused on providing healthy and flavorful meals. They also cater services for big events and gatherings. Cava's secondary source of revenue is through an outsourcing of their dips, spreads, and other products to retail locations. Cava's main target audience is health-conscious millennials and younger adults. This past year, Cava's net income was \$19.7 million, up from \$6.5 million in the previous year's quarter. Cava reported a 37.3% increase in restaurant-level profit and a 26.5% restaurant-level profit margin. This is due to many different factors: firstly, the Mediterranean industry is growing at an annual average rate of 3%, which provides more space for Cava to grow as a company. Additionally, there has been a cultural shift towards eating healthier. Surveys conducted showed that 54% of Americans said they pay more attention to what they eat than 15-20 years ago. These factors are greatly increasing the market size and opportunities for Cava and attribute to the reason why Cava is growing over 20% year on year and currently has 361 locations and is expected to open over 50 new locations this past year. With this being said, Cava has huge potential to continue to expand while constantly increasing its profit margins and profitability.

Industry Analysis

Fast casual dining entered the restaurant market in the late 1990s, but the years following the Great Recession were when it really boomed. Today, the fast-casual dining industry is still experiencing remarkable growth, with a market size of \$168.1 billion in 2023 projected to reach \$301.6 billion by 2032. This impressive expansion is reflected in a compound annual growth rate (CAGR) of 6.6% in the 10-year forecast period. Cava currently has 361 locations in 26 states and territories and 234 different cities, with the majority of these locations being urban and coastal cities. Cava individually opened up 72 restaurants in 2023, 33 in the first two quarters of 2024, and has plans to increase the number of brick-and-mortar stores by 15% in 2025. They have a target of growing to 1,000 physical locations by the year 2032. With consistent store growth and a large increase in the target number of stores, we believe the fast-casual industry is a robustly growing industry.

Competitors



Porter's Five Forces

1. Threat of New Entrants → MODERATE TO HIGH

- Cava has 361 locations nationwide and has an extremely established brand name. They are on track to open over 50 new locations this year, showing a growth rate of over 20%. This gives them an edge over new competitors entering this space, as people are more likely to choose Cava because they know it's a reputable and consistent brand that offers high-quality foods. Additionally, 80% of Cava's stores are currently in suburban neighborhoods and the rest are in mostly urban and a few rural locations. Cava also has a huge economy of scale and is nationally recognized as an extremely reputable brand.

2. Bargaining Power of Suppliers → LOW TO MODERATE

- Growth of the Mediterranean Culinary Market: Although Cava relies on a select number of suppliers for certain ingredients, the demand for Mediterranean and authentic ingredients has gone up significantly in recent years.
- Strong Relationships with Local Farmers: Cava is partnered with 50+ local farms across the eastern US. Local sourcing is 30% of their ingredient supply chain, so having these strong relationships decreases costs and helps mitigate risk.

3. Bargaining Power of Buyers → HIGH

- Health-conscious consumers: Customers can make financial decisions based on their preferences, as evidenced by the fact that 54% of consumers favor businesses that provide fresh, high-quality food, and 73% of consumers want to eat more healthfully. They now have more power to demand quality from Cava and related businesses.

4. Threat of Substitute Products → HIGH

- Switching Costs
 - Customers have zero switching costs → the fast-casual restaurant sector and the ethnic food market in general are extremely competitive
- Buyer inclination to substitutes
 - Substitutes: Veggie Grill, Just Salad, Chopt, Sweetgreen, Chipotle, Qdoba, Halal Guys, Mendocino Farms, etc

5. Degree of Competitive Rivalry → MODERATE TO HIGH

- High capital investment in physical locations
- Long-term leases + contracts w/ suppliers
- The industry is saturated + high pressure from large competitors → hard to sell assets
- Acquiring Zoe's Kitchen created new, higher financial commitments

Risk and Mitigants

Risk:

The fast-casual dining sector is highly competitive, with many players, including Naya, Taim, and larger chains like Chipotle, Panera, and Sweetgreen. With so many up-and-coming restaurants, whether it be in the fast-casual market, the Mediterranean market, or the plant-based market, there could be reason to be afraid of the potential uprise of some of these developing businesses.

Mitigant:

Cava can differentiate itself through unique menu offerings, high-quality ingredients, and effective marketing strategies to build brand loyalty. Cava can also leverage its solid reputation and foundation to ensure they do not blend into the rest of the market.

Risk:

Historically, consumer taste fluctuates quite frequently, with many types of cuisines coming and going. These shifts in consumer tastes could impact the demand for Mediterranean cuisine in the long run.

Mitigant:

Regularly updating the menu and incorporating customer feedback can help Cava stay aligned with consumer preferences. As long as the corporate side of Cava is always staying up to date with industry trends, they can make sure to keep their menu relevant while still maintaining the general feel and authenticity of being a Mediterranean-focused restaurant chain.

Risk:

The food service industry has had a history of challenges related to labor shortages, affecting staffing and service quality. This is a very plausible future occurrence and could harm Cava's prosperity.

Mitigant:

Investing in employee training, and benefits, and creating a positive workplace culture can help attract and retain talent. Even Cava themselves said that many employees have 401(k) packages, paid leave, and physical and mental health benefits.

Forecasted Revenue and Income Statement

Income Statement (\$ in thousands)	Historical			Projected				
	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Revenue	\$500,072.00	\$564,119.00	\$728,700.00	\$852,501.27	\$1,014,431.43	\$1,227,462.03	\$1,509,584.37	\$1,841,692.93
Cost of Operations	417,919.0	466,135.0	548,354.0	598,029.6	747,128.7	897,397.5	1,100,034.1	1,339,463.3
Gross Profits	82,153.0	97,984.0	180,346.0	254,471.6	267,302.7	330,064.5	409,550.2	502,229.7
margin	16.43%	17.37%	24.75%	29.85%	26.35%	26.89%	27.13%	27.27%
General and administrative expenses	64,792.0	70,037.0	101,491.0	106,562.7	120,717.3	144,840.5	173,602.2	209,953.0
Depreciation and amortization	44,538.0	42,724.0	47,433.0	49,274.6	60,865.9	71,192.8	122,276.3	161,700.6
Restructuring and other costs	6,839.0	5,923.0	6,080.0	6,080.0	6,080.0	6,080.0	6,080.0	6,080.0
Pre-opening costs	8,194.0	19,313.0	15,718.0	15,718.0	15,718.0	15,718.0	15,718.0	15,718.0
Impairment and asset disposal costs	10,542.0	19,753.0	4,899.0	4,899.0	4,899.0	4,899.0	4,899.0	4,899.0
EBIT	(52,752.0)	(59,766.0)	4,725.0	71,937.4	59,022.5	87,334.2	86,974.7	103,879.0
margin	(10.55%)	(10.59%)	0.65%	8.44%	5.82%	7.12%	5.76%	5.64%
Interest (income) expense, net	4,810.0	47.0	(8,852.0)	(8,525.0)	(7,608.2)	(613.7)	3,019.2	1,841.7
Other income, net	(20,288.0)	(919.0)	(471.0)	(471.0)	(471.0)	(471.0)	(471.0)	(471.0)
EBT	(37,274.0)	(58,894.0)	14,048.0	80,933.4	67,101.7	88,419.0	84,426.5	102,508.3
Provision for income taxes	117.0	93.0	768.0	16,996.0	14,091.4	18,568.0	17,729.6	21,526.8
Net Income Attributable to CAVA GROUP, INC	(37,391.0)	(58,987.0)	13,280.0	63,937.4	53,010.3	69,851.0	66,697.0	80,981.6
margin	(7.48%)	(10.46%)	1.82%	7.50%	5.23%	5.69%	4.42%	4.40%
Depreciation & Amortization	44,445.0	42,724.0	47,433.0	\$49,274.6	\$60,865.9	\$71,192.8	\$122,276.3	\$161,700.6
EBITDA	177,896.2	(17,042.0)	52,158.0	121,212.0	119,888.3	158,527.0	209,251.0	265,579.7
margin	35.57%	(3.02%)	7.16%	14.22%	11.82%	12.92%	13.86%	14.42%
Earnings (loss) per share:								
Basic	(51.1)	(44.4)	0.2	1.1	0.9	1.2	1.1	1.3
Diluted	(51.1)	(44.4)	0.2	1.0	0.8	1.1	1.1	1.3
Weighted-average common shares outstanding:								
Basic	732.0	1,328.0	60,512.0	60,512.0	60,512.0	60,512.0	60,512.0	60,512.0
Diluted	732.0	1,328.0	63,448.0	63,448.0	63,448.0	63,448.0	63,448.0	63,448.0
Forecast								
Cost of Operations	83.57%	82.63%	75.25%	70.15%	73.65%	73.11%	72.87%	72.73%
Depreciation, amortization, and depletion	8.91%	7.57%	6.51%	5.78%	6.00%	5.80%	8.10%	8.78%
General and administrative	12.96%	12.42%	13.93%	12.5%	11.9%	11.8%	11.5%	11.4%
Interest expense	0.96%	0.01%	(1.21%)	(1.00%)	(0.75%)	(0.03%)	0.20%	0.10%
Taxes				21.00%	21.00%	21.00%	21.00%	21.00%

Operational efficiencies played a crucial role in reducing costs. The company improved its restaurant-level profit margin to 25.6%, up from 25.1% in the previous year, attributed to strategic cost control and leveraging higher sales volumes.

	Historical			Projected				
	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Revenue	\$500,072	\$564,119	\$728,700	\$852,501	\$1,014,431	\$1,227,462	\$1,509,584	\$1,841,693
YoY Growth		12.81%	29.17%	16.99%	18.99%	21.00%	22.98%	22.00%
Restaurant Revenue	494,035.0	556,986.0	720,927.0	843,484.6	1,003,746.7	1,214,533.5	1,493,876.2	1,822,528.9
Restaurant Revenue	494,035.0	556,986.0	720,927.0	843,484.6	1,003,746.7	1,214,533.5	1,493,876.2	1,822,528.9
CPG revenue and other	6,037.0	7,133.0	7,773.0	9,016.7	10,684.8	12,928.6	15,708.2	19,164.0
CPG revenue and other Total	6,037.0	7,133.0	7,773.0	9,016.7	10,684.8	12,928.6	15,708.2	19,164.0
Forecast								
Restaurant Revenue	-	12.74%	29.43%	17.00%	19.00%	21.00%	23.00%	22.00%
CPG revenue and other	-	18.15%	8.97%	16.00%	18.50%	21.00%	21.50%	22.00%

CAVA Group's Q3 2024 earnings report highlights significant financial progress through cost management and revenue growth. Revenue increased by 39% year-over-year to \$241.5 million, driven by a same-restaurant sales increase of 18.1%, which included a 12.9% rise in guest traffic and a 5.2% boost from pricing and product mix adjustments.



Valuation and Comparables

EV/EBITDA Valuation Summary		EV/Revenue Valuation Summary		P/E Valuation Summary	
EBITDA	265,579.7	Revenue	1,841,692.9	EPS	1.3
Multiple	53.9	Multiple	7.4	Multiple	83.1
Total Enterprise Value	14,312,088.3	Total Enterprise Value	13,702,195.4	Total Enterprise Value	6,744,957.7
(-) Debt	359,136.0	(-) Debt	359,136.0	(-) Debt	359,136.0
(+) Cash	343,748.0	(+) Cash	343,748.0	(+) Cash	343,748.0
Total Equity Value	14,296,700.3	Total Equity Value	13,686,807.4	Total Equity Value	6,729,569.7
Shares Outstanding	60,512.0	Shares Outstanding	60,512.0	Shares Outstanding	60,512.0
Implied Share Price	236.26	Implied Share Price	226.18	Implied Share Price	111.21
Current Price (As of 11/8/24)	147.20	Current Price (As of 11/8/24)	147.20	Current Price (As of 11/8/24)	147.20
Upside (Downside)	60.5%	Upside (Downside)	53.7%	Upside (Downside)	-24.4%

With strong sales and operational efficiency projections, both the EV/EBITDA and EV/Revenue show promising implied share prices and large upsides

(As of 11/7/24)		Market Cap (\$MM)	EV (\$MM)	LTM		
Company	Ticker			EV/EBITDA	EV/Revenue	P / E
Chipotle	NYSE: CMG	79,430	81,720	35.9x	7.4x	53.6x
Wingstop	NASDAQ: WING	9,630	10,500	69.8x	21.3x	112.6x
Texas Roadhouse	NASDAQ: TXRH	13,150	13,850	21.9x	2.72x	34.0x
Shake Shack	NYSE: SHAK	5,600	5,820	53.9x	4.8x	665.8x
Cava	NYSE: CAVA	16,100	15,910	157.78x	18.82x	772.22x
Average				53.2x	11.2x	216.5x
Median				53.9x	7.4x	83.1x
High				69.8x	21.3x	665.8x
Low				35.9x	4.8x	34.0x

While many of CAVA more direct competitors are not publicly traded, there are still a few fast-casual restaurants that serve as good comparables